



SPOTIFY

Q1 2026 BUSINESS & FINANCIAL PERFORMANCE

A Clear-Cut Look at the Business Model, Revenue Engine & Q1 Results

Prepared: July 2026 | Reporting Period: Three Months Ended March 31, 2026

Source: Spotify Q1 2026 Shareholder Update

1. The Business Model — A Two-Sided Audio Platform

Spotify runs a freemium, multi-sided platform for audio — music, podcasts, and audiobooks — built around one core idea: give everyone free access, then convert the most engaged listeners into paying subscribers. Growth on one side of the platform (listeners) reinforces the other (creators and advertisers), creating strong network effects.

Two Tiers, One Funnel

FREE / AD-SUPPORTED TIER	PREMIUM SUBSCRIPTION TIER
Ad-supported listening — the majority of Spotify's user base and the entry point into the ecosystem.	Ad-free, offline, high-quality audio plus exclusive features — the core revenue driver.
Monetized via display, audio & video ads, sponsorships and auction-based ad platforms (Spotify Ad Exchange, Ads Manager).	Monetized via monthly subscription fees for individuals and families.

What Drives the Engine

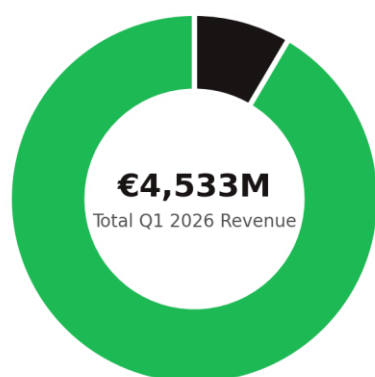
- User growth (MAUs) → conversion into paying Subscribers → higher revenue per user through pricing and features.
- Advertising monetization keeps the free tier commercially viable at massive scale.
- Continuous reinvestment in AI personalization, content, and infrastructure to keep users engaged and paying.
- Licensing deals with labels, publishers and creators shape Spotify's largest cost line — content royalties.

In short: Spotify doesn't just sell music streaming — it sells personalized discovery, at scale, monetized two different ways.

2. Where the Money Comes From

Total revenue for Q1 2026 came in at €4,533 million, up 8% year-on-year (14% on a constant-currency basis). The vast majority of it comes from one place: Premium subscriptions.

Q1 2026 Revenue by Segment

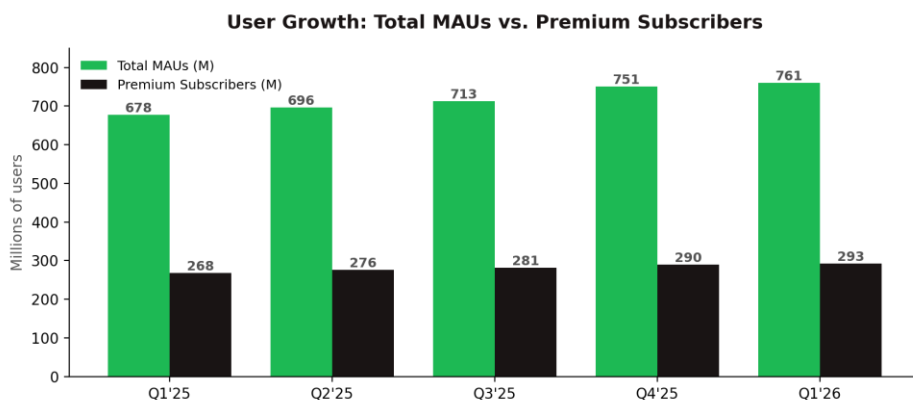


SEGMENT	REVENUE (Q1'26)	Y/Y GROWTH
Premium Subscriptions	€4,148M	+10% (+15% FXN)
Advertising	€385M	-5% (+3% FXN)

Premium revenue growth came from a healthy mix of subscriber additions (+9% Y/Y to 293 million) and modest pricing power — Premium ARPU held at €4.76, up 5.7% on a constant-currency basis. Ad-Supported revenue looked weaker on paper (-5% Y/Y) but that's mostly a currency and accounting-reclassification effect — on a constant-currency basis it actually grew 3%, powered by more ad impressions sold and podcast sponsorship gains.

3. User Growth — The Foundation Everything Else Is Built On

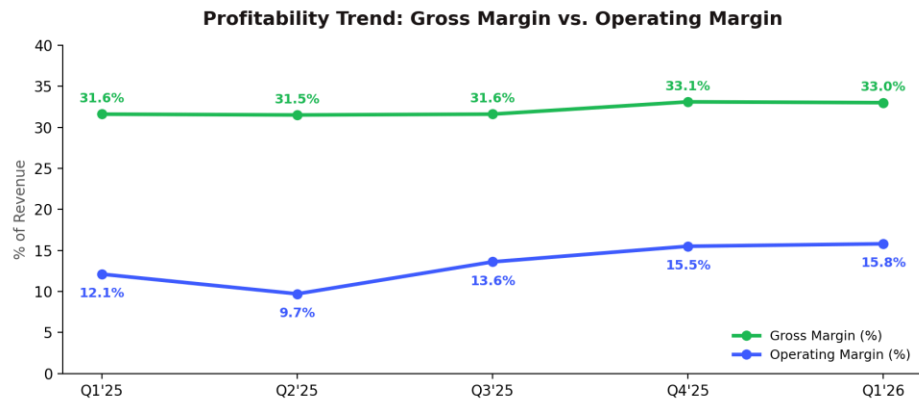
Spotify closed Q1 2026 with 761 million total Monthly Active Users, up 12% year-on-year and 2 million ahead of its own guidance. Of those, 293 million are paying Premium Subscribers — meaning roughly 1 in 2.6 users now pays for the service.



761M TOTAL MAUs +12% Y/Y · +10M net adds	293M PREMIUM SUBSCRIBERS +9% Y/Y · +3M net adds	€4.76 PREMIUM ARPU +5.7% Y/Y (constant currency)
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4. Profitability — Margins Are Finally Expanding

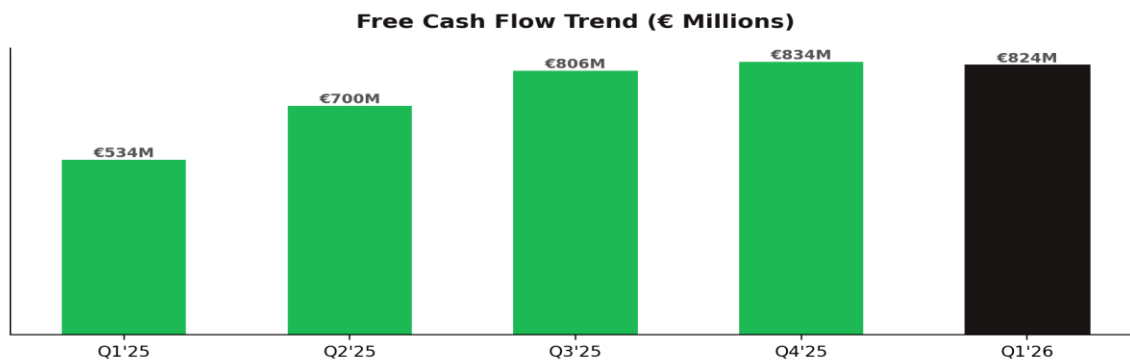
This is the part of the story that's changed the most in recent years: Spotify is no longer just growing users, it's converting that growth into real profit. Q1 2026 delivered a Q1-record Gross Margin of 33.0% and Operating Income of €715 million — both ahead of the company's own guidance.



- Premium Gross Margin (34.8%) is the profit engine — revenue growth is outpacing music, audiobook and video-podcast costs.
- Ad-Supported Gross Margin (13.0%) actually slipped slightly, as higher engagement costs outweighed podcast gains.
- Operating Expenses fell 5% Y/Y in reported terms, helped by favorable currency moves and lower "Social Charges" (payroll taxes tied to Spotify's own share price).

5. Cash Generation & Balance Sheet Strength

Free Cash Flow hit a Q1 record of €824 million, up 54% year-on-year, pushing trailing-twelve-month Free Cash Flow to €3.2 billion. Spotify is sitting on €8.8 billion in cash, cash equivalents and short-term investments — and used some of that firepower this quarter to repurchase €306 million of shares and retire €1.3 billion of exchangeable notes.



6. What's Next — Q2 2026 Outlook

Spotify's own guidance for the next quarter (as of April 28, 2026) points to continued — if slightly more currency-challenged — growth:

METRIC	Q2 2026 GUIDANCE
Total MAUs	778 million (~17M net adds)
Premium Subscribers	299 million (~6M net adds)
Total Revenue	€4.8 billion
Gross Margin	33.1%
Operating Income	€630 million

The Bottom Line

- Strengths: massive, still-growing user base; proven Premium pricing power; diversifying into podcasts/audiobooks; strong cash generation; record margins.
- Watch-outs: heavy dependence on music licensing costs; ad revenue softness and FX exposure; intensifying competition from Apple Music, YouTube and TikTok; payroll-tax volatility tied to its own stock price.

Overall, Q1 2026 shows a business that has moved past the "grow at any cost" phase — Spotify is now proving it can grow users and margins at the same time, which is exactly what long-term investors and analysts want to see.